Case: Groupe Carrefour

Case Purpose

- Understand the reasons for Carrefour's performance trends and investors' skepticism
  - Showcase how to perform a step-by-step financial analysis
- Part I: Strategy analysis (Week 4)
- Part II: Financial analysis (Week 5)
  - Illustrate how to use Excel to conduct analysis
    - Preparation of condensed financial statements
    - The decomposition of ROE
    - The analysis of segment and non-financial information

Carrefour France

Carrefour China

Analyzing Carrefour's Strategy

- **10 mins** group discussion, please discuss the following questions:
  - What is Carrefour's competitive strategy?
  - What are Carrefour's core competencies?

Carrefour's Strategy

- Differentiation **and** cost leadership
  - Differentiation (hypermarket):
    - Broader assortment (food and non-food)
    - Wider choice of brands within one product category
    - Investing in customer loyalty (loyalty card, own brands and market campaign)
  - Cost leadership:
    - Assortment and price adjusted timely to meet changing customer preferences ("customer behavior database")
    - A well-developed logistics network
    - Economies of scale (bargaining power with suppliers)
    - Low-priced products under own brand

Carrefour's Strategy (cont'd)

- International growth*
  - Economies of scale in purchasing, logistics, and development of brand awareness (selling own branded products with same packaging worldwide)

*To achieve growth, large companies are often "forced" to expand overseas or enter other industries once they obtain a dominant position in domestic markets.

- Online growth
  - Competition from online retailers (but only 3% of total revenue in 2020, targeting 6% in 2022)
  - Continue to invest in online and omnichannel retailing

(in millions of euros)	2020	2019
France	34,135	34,765
Rest of Europe	21,239	20,999
Spain	9,058	8,799
Italy	4,172	4,516
Belgium	4,124	3,797
Poland	1,820	1,895
Romania	2,065	1,992
Latin America	13,245	14,665
Brazil	11,506	12,793
Argentina	1,739	1,872
Asia	2,100	1,968
Taiwan	2,100	1,968

From Carrefour 2020 Annual Report

Risks of Carrefour's Strategy

- **8 mins** group discussion, please discuss the following question:
  - What are the **risks** associated with Carrefour's competitive strategy?

Risks of Carrefour's Strategy

- Cost leader **and** differentiator
  - Mixed strategy
  - Hypermarkets are "stuck in the middle"

  <u>Can you identify several points during the past two decades at which this happened?</u>

- During economic downturns in early 2000s
  - Focused too much on differentiation and improving margins rather than cutting prices – lost customers to price discounters

Risks of Carrefour's Strategy (cont'd)

- From 2012 to 2016 with CEO Plassat
  - Focus on cost-cutting and price competitiveness
  - Building Carrefour planet and spin-off discount retailer Dia

- From 2017 with CEO Bompard
  - Focus on cost cutting and global multi-store format
  - Online sales and omnichannel retailing

Risks of Carrefour's Strategy (cont'd)

- International growth
  - Different tastes and preferences of local customers
  - Risky economic environment of intercontinental hypermarkets, e.g., Latin America (customers price-sensitive, economic volatility, bureaucracy and strong government protectionism)
  - Severe price competition with other multinationals (i.e., Wal-Mart, Tesco) and strong local incumbents
  - During 2000s, international store portfolio too diversified.
    - Withdrew from 10 countries between 2011 and 2013.
    - Withdrew from China in 2019.